

6. Delay Cost

Delay cost represents the loss in investment value between the time the manager makes the investment decision and the time the order is released to the market. Managers who buy rising stocks and sell falling stocks will incur a delay cost. Delay cost could occur for many reasons.

First, delay cost may arise because traders hesitate in releasing the orders to the market. Second, cost may occur due to uncertainty surrounding who are the most “capable” brokers for the particular order or trade list. Some brokers are more capable at transacting certain names or more capable in certain market conditions. Third, traders may decide to hold off the transaction because they believe better prices may occur. However, if the market moves away, e.g., an adverse momentum, then the delay cost can be quite large. Fourth, traders may unintentionally convey information to the market about their trading intentions and order size (information leakage). Fifth, overnight price change movement may occur. For example, stock price often changes from the close to the open. Investors cannot participate in this price change, so the difference results in a sunk cost or savings depending on whether the change is favorable. Investors who are properly managing all phases of the investment cycle can minimize (if not avoid completely) all delay cost components except for the overnight price movement.

7. Price Appreciation

Price appreciation represents how the stock price would evolve in a market without any uncertainty (natural price movement). Price appreciation is also referred to as price trend, drift, momentum, or alpha. It represents the cost (savings) associated with buying stock in a rising (falling) market or selling (buying) stock in a falling (rising) market. Many bond pricing models assume that the value of the bond will appreciate based on the bond’s interest rate and time to maturity.

8. Market Impact

Market impact represents the movement in the price of the stock caused by a particular trade or order. It is one of the more costly transaction cost components and always results in adverse price movement and a drag on performance. Market impact will occur due to the liquidity demand (temporary) of the investor and the information content (permanent) of the trade. The liquidity demand cost component refers to the situation where the investors wishing to buy or sell stock in the market have insufficient counterparties to complete the order. In these situations, investors will